How Our Investing System Works - Plain English

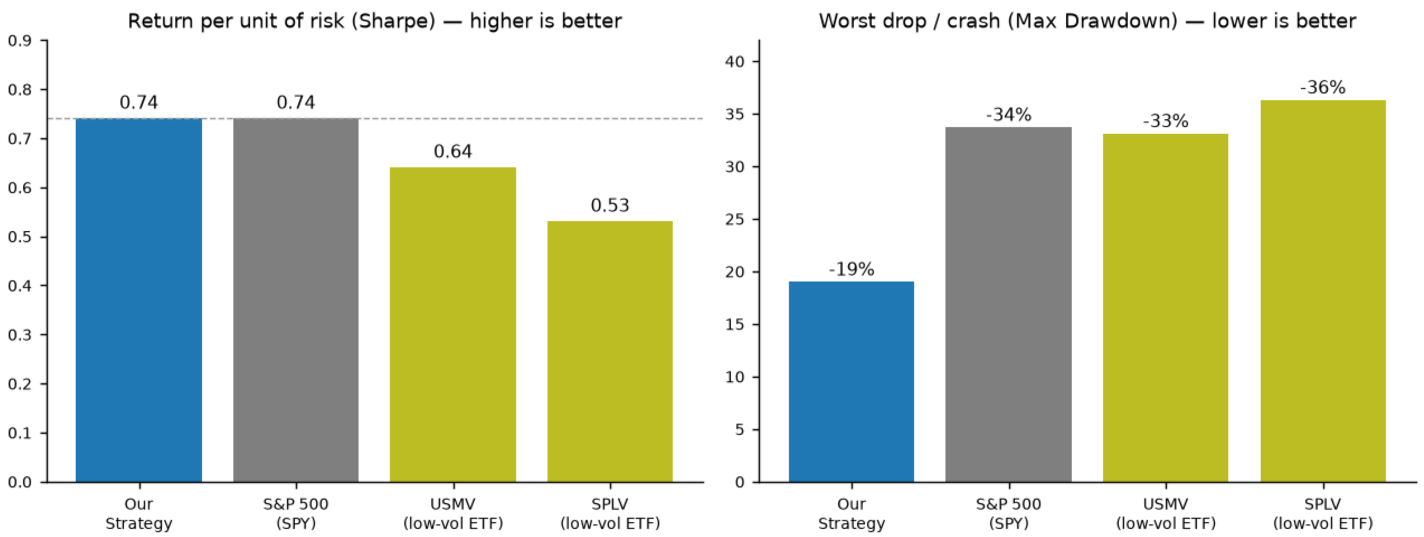
For someone who doesn't code or follow investing. It covers what we tested and why it counts as a success, the six live 'paper' experiments we're running (with how each one splits money, when it stays in cash, and how often it checks), and - honestly - how this compares to doing it yourself or paying a company.

Part 1 - The Backtest: what we tested, and why it 'worked'

A 'backtest' replays years of real market history and pretends to trade through it, day by day, to see how a strategy would have done - the catch is making sure it can't secretly peek at the future. Our early tries accidentally cheated (looked amazing, but fake). We rebuilt it so it CANNOT cheat. The honest result is smaller - and trustworthy. Adding company financial and insider data made results WORSE, so we dropped them from the core; fancier AI didn't help. The winner: a simple, disciplined strategy that favors calmer stocks and sits in cash when the market is dangerous.

Measure (plain meaning)	Ours	S&P 500	Winner
Return per unit of risk (Sharpe)	0.74	0.74	Tie
Worst crash (drawdown)	-19%	-34%	Us (half the crash)
Total money made	99%	170%	S&P (more $)
Yearly return	9.0%	13.2%	S&P

Our strategy vs the market and vs cheap low-vol ETFs (2018–2026, after costs)



Verdict: about the SAME reward-for-risk as the market with roughly HALF the crash, and better than the cheap 'safe' ETFs. A smoother ride, not a richer one - that honest, trustworthy result is why we moved on to live paper testing.

Part 2 - The six live 'paper' experiments (fake money, real time)

A backtest is the past; a 'paper test' trades the FUTURE with fake money in real time - the honest way to see if the edge holds. For EACH one below you'll see three things: how it splits money (allocation), when it refuses to invest and holds cash, and how often it checks. Zero real money is at risk. A note on trade types: every version aims about 75% at long-term holdings and 25% at medium-term 'swing' moves - it does NOT day-trade (that needs minute-by-minute data we don't use and just piles up costs).

TEST 1 - equity_validated - the proven baseline (the yardstick)

The simple validated stock strategy from Part 1. Every fancier version has to beat THIS to earn its complexity.

Allocation: up to ~100% in stocks, or 0% (all cash). No crypto or metals. ~75% long-term / 25% swing.

Stays in cash when: the market mood is dangerous (bear/crisis/high-volatility), a trade isn't worth it after costs, confidence is under 60%, or a safety brake trips.

How often it checks: once every weekday, after the market closes - using price & trading-volume data.

TEST 2 - equity_full_goal - stocks with the full rulebook

Stocks, but reading six market 'moods' and adjusting, with careful position-sizing and safety checks.

Allocation: up to 65-70% in stocks, rest cash. ~75% long-term / 25% swing.

Stays in cash when: same safety rules as every test (dangerous mood, poor odds, low confidence, or a tripped brake).

How often it checks: once every weekday - price & volume data.

TEST 3 - crypto_full_goal - the same rules, on crypto

The identical rulebook applied to crypto (Bitcoin, Ethereum, and large coins). Wilder, so caps are tighter.

Allocation: up to 30% in crypto, the other 70%+ in cash. ~75% long-term / 25% swing.

Stays in cash when: same safety rules - and crypto's tighter caps keep it small by design.

How often it checks: once every weekday - crypto price & volume data.

TEST 4 - full_system - everything together

Stocks + crypto in one portfolio, plus a 'learning loop' that shifts money toward whatever is actually performing.

Allocation: up to 70% stocks + 30% crypto, rest cash. ~75% long-term / 25% swing.

Stays in cash when: same safety rules, applied to each book and to the whole portfolio.

How often it checks: once every weekday - stock and crypto price & volume data.

TEST 5 - full_system_max - everything + extra data

Test 4 PLUS company financial reports and insider-trading data - included to double-check, in real time, our finding that this data actually HURTS.

Allocation: up to 70% stocks + 30% crypto, rest cash. ~75% long-term / 25% swing.

Stays in cash when: same safety rules.

How often it checks: once every weekday - price & volume PLUS company financial filings.

TEST 6 - full_system_v6 - everything + GOLD (new percentages)

Test 5 PLUS a precious-metals book (gold & silver), which tends to hold up when stocks fall. (We researched fine art too and REJECTED it - after real costs it adds nothing and can't be auto-traded.)

Allocation: up to 65% stocks + 15% gold/metals + 20% crypto, rest cash. ~75% long-term / 25% swing.

Stays in cash when: same safety rules, across all three books.

How often it checks: once every weekday - price & volume, company filings, and gold/silver prices.

Part 3 - Why we do it this way (the benefits, in plain terms)

Why the allocation split helps: spreading money across stocks, a little crypto, some gold, and cash means no single thing can sink you - gold and cash usually hold up when stocks drop. About 75% is aimed at LONG-TERM growth (this is the 'retirement' money - slow, steady compounding), and ~25% at medium-term moves. Keeping the risky pieces small (crypto capped low, gold as a cushion) is what makes the ride smoother.

Why the cash rules help: cash never loses money in a crash. By refusing to invest when the odds are bad or the market is dangerous - and defaulting to cash - the system simply sits out the worst days. That is exactly how it cut the worst crash to about HALF the market's. You do not have to be invested to win.

Why checking once a weekday helps: this strategy targets moves that play out over 1-3 MONTHS, so a daily check is the right rhythm. Checking every few minutes would just react to noise and rack up trading costs - fewer, calmer, better decisions beat constant fiddling. It also runs by itself, so nothing depends on you watching screens.

Your money stays flexible - and honestly, how safe it is

Long-term vs. reachable: roughly 75% of what's invested is the long-term / retirement-style money (built to grow over years); ~25% is medium-term; and the big cash cushion plus gold means a chunk is calm and reachable at any time.

No withdrawal penalty: this runs in a normal investment account - NOT a locked retirement account or a CD. So if you need the money, you can take it out whenever you want, with no early-withdrawal penalty (a CD charges you to break it early; a 401k/IRA penalizes withdrawals before age 59.5). Selling investments can create a tax on any gains, but there is no penalty for accessing your own cash.

How safe it really is (honest): the money sits at a regulated brokerage that is SIPC-protected if the broker itself fails - the same custodial protection an investment firm gives you. And the design is built to protect capital first: it defaults to cash, caps the risky pieces, and has automatic brakes to limit losses. BUT - unlike a savings account or CD, this INVESTS, so its value can go down as well as up. It is not principal-guaranteed. The whole point of the cash rules and safety brakes is to keep those drops small (about half the market's worst) - not to pretend they can't happen.

Part 4 - How this differs from other ways to invest

Vs. picking your own stocks (researching it yourself)

The big difference is DISCIPLINE. It follows the same tested rules every day - it never panic-sells in a scare or chases a hot tip. Most people who pick their own stocks underperform mainly because of emotion and over-trading; removing that human impulse is the real edge. It also has automatic brakes (goes to cash in a crisis, stops after big losses) that people rarely follow on their own.

Vs. paying a robo-advisor or financial advisor

Three real advantages: (1) NO FEES - robo-advisors take ~0.25%/yr and advisors ~1%/yr, which is a lot over decades; this is free to run. (2) TOTAL TRANSPARENCY - you see every decision and the exact reason; most funds are a black box. (3) BUILT-IN SAFETY BRAKES aimed at avoiding big crashes. Honest caveats: a robo-advisor is simpler and needs zero upkeep; a human advisor also helps with taxes, retirement, and life planning that this does not; and this needs some technical setup.

The honest bottom line

Right now this system's real edges are TRANSPARENCY, NO FEES, DISCIPLINE, STRONG RISK CONTROL, and FLEXIBLE ACCESS to your money - a smoother, less scary ride that roughly matches the market with much smaller crashes. It is NOT (yet) a proven way to earn MORE than the market. We test it forward, honestly, with fake money before a single real dollar is at risk - and if the simple version wins, we keep the simple version. Discipline over hype.